Human Resource Management - Set 4

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. The simplest method of job evaluation is
A. factor comparison
B. classification
C. the ranking method
D. point method

2. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her
A. wage structure and fringe benefits
B. family background and social status
C. potential for development
D. seniority and length of service only

3. The minimum wage is the wage that
A. is equal to the average wage paid in the industry in the region
B. meets the basic needs of a worker and his family at the lowest acceptable level
C. is fixed by each employer according to the profit of the firm
D. gives a worker a comfortable life with savings, insurance and recreation

4. The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute
A. gherao
B. collective bargaining
C. strikes
D. grievances

5. Job analysis is the process of
A. estimating the number of employees required in the coming year
B. collecting and analysing information about the tasks and requirements of a job
C. appraising an employee's performance and potential for promotion
D. fixing the wage rate for a job after comparing it with other jobs

6. Evaluating the effectiveness of training is done to
A. determine the wage structure for employees who have completed training
B. measure whether training achieved its objectives
C. identify the number of new employees to be recruited next year
D. decide the compensation and fringe benefits of the trainers

7. Dearness allowance and wage revision are
A. supplementary economic benefits
B. legal remedies
C. administrative issues
D. wage-related issues

8. Career management is the
A. one-time test conducted at recruitment to decide an employee's pay grade
B. scheme of paying bonus to employees on the basis of company profit
C. continuous process of preparing, implementing and monitoring career plans
D. procedure of discharging surplus employees when the company downsizes

9. After an agreement is signed, the HR manager plays a crucial role in
A. day-to-day administration and implementation of the agreement
B. preparing the company's annual report for the shareholders

C. fixing the wage rates of employees who are not covered by the agreement
D. negotiating a fresh agreement with a rival trade union

10. In the diary method of job analysis, the
A. job holder records daily activities in a log
B. auditor checks the books
C. union negotiates wages
D. supervisor reads the HR policy

11. Disputes relating to the application or interpretation of an existing agreement are disputes of
A. right
B. wages only
C. interest
D. strikes only

12. Which of the following is generally the first stage in the selection process?
A. Medical examination
B. Application screening
C. Final job offer
D. Induction

13. Training given away from the work floor through discussion of real situations is the
A. Understudy
B. case study method
C. Job rotation
D. Apprenticeship

14. A rater who gives higher scores than employees actually deserve shows
A. recency
B. horns effect
C. strictness bias
D. leniency bias

15. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?
A. Widens the talent pool
B. Boosts employee morale and motivation
C. Increases recruitment cost
D. Brings completely new ideas

16. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?
A. 50%
B. 10%
C. 25%
D. 83%

17. Which skill is essential for an HR manager?
A. Only legal drafting skill
B. Communication and interpersonal skills
C. Only accounting skill
D. Only machine operating skill

18. Which of the following is a MODERN method of performance appraisal?
A. Essay evaluation
B. Paired comparison
C. Confidential reports
D. 360-degree appraisal

19. Which of the following is NOT a method of forecasting HR supply?
A. Markov analysis
B. Delphi technique

C. Skill inventory
D. Replacement chart

20. A test that measures a candidate's potential to learn is an
A. situational test
B. personality test
C. medical test
D. aptitude test

21. In arbitration, the dispute is referred to
A. the Board of Directors, who gives a final decision
B. a neutral arbitrator whose award is binding
C. the trade union's executive committee, which decides on the issue
D. the Registrar of Trade Unions, who fixes the settlement terms

22. A grievance is
A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management
B. an agreement between management and union on the terms of employment
C. a sudden stoppage of work by a group of employees to press demands
D. a formal punishment given to an employee for breaking company rules

23. Development differs from training in that development is
A. only for new recruits
B. short-term and job-specific
C. long-term and career-oriented
D. only for workers

24. In Kirkpatrick's model, trainee satisfaction with the programme is measured at the
A. reaction level
B. learning level
C. behaviour level
D. results level

25. A fair wage lies
A. above the living wage in every industry and region
B. between the minimum wage and the living wage
C. below the minimum wage fixed by the law for the industry
D. at the level of the profit earned by the employer

26. Arrange the three wage levels from lowest to highest.
A. Fair wage, minimum wage, living wage
B. Minimum wage, fair wage, living wage
C. Minimum wage, living wage, fair wage
D. Living wage, fair wage, minimum wage

27. In the paired comparison method, each employee is
A. rated by the customers who deal with the employee on the job
B. compared with every other employee one characteristic at a time
C. compared only with the best performing employee in the group
D. ranked from highest to lowest by the chairman of the board

28. Recruitment is best defined as
A. the process of transferring an employee to a higher post in the same firm
B. the process of orienting a new employee to the company's rules and culture
C. the process of choosing the best candidate from the applicants through tests and interviews
D. the process of searching for and attracting potential candidates to apply for jobs

29. Pension plans, gratuity and health insurance are
A. wage-related issues of bargaining
B. administrative issues of bargaining
C. forms of industrial action by the workers

D. supplementary economic benefits

30. Which of the following is included in the scope of HRM?
A. Purchase of raw materials, storage and production scheduling
B. Recruitment, training, compensation and industrial relations
C. Product design, advertising, branding and sales promotion
D. Preparation of the balance sheet, audit and tax planning

31. Basic salary is an example of
A. variable pay
B. guaranteed pay
C. bonus
D. equity-based compensation

32. Which is a characteristic of collective bargaining?
A. Flexible, dynamic and continuous process
B. Rigid one-time process
C. Individual action only
D. Compulsory third-party intervention

33. Which of the following is a method of forecasting HR supply?
A. Work-study technique
B. Markov analysis
C. Delphi technique
D. Nominal group technique

34. In group appraisal, the appraisee is evaluated by
A. an auditor
B. a panel of evaluators
C. the employee's family
D. a single peer

35. Societal objectives of HRM mean
A. increasing the profits of the firm by cutting the wages of the workers
B. keeping the HR department's costs at the lowest possible level
C. helping every employee to fulfil his own personal ambitions at work
D. being ethically and socially responsible to society

36. Which of the following is an aim of a compensation system?
A. Avoid any comparison with the pay offered by other employers
B. Increase industrial disputes between management and the unions
C. Attract and retain high-quality employees
D. Discourage extra role behaviour and reduce employee motivation

37. Paid time off, medical insurance and company car are examples of
A. benefits
B. guaranteed pay
C. equity
D. variable pay

38. Which of the following is a technique of forecasting demand for human resources?
A. Markov analysis
B. Skill inventory
C. Delphi technique
D. Succession chart

39. Which role of the HR manager involves linking management and employees and handling grievances?
A. Marketing coordinator
B. Conciliator / mediator
C. Financial controller
D. Statutory auditor

40. Comparing actual performance with the set standards comes
A. before establishing standards
B. after measuring actual performance
C. before communicating standards
D. after corrective action

41. Which is a party to industrial relations?
A. Trade union
B. Customer
C. Competitor
D. Supplier

42. The importance of HRM in the emerging scenario is mainly due to
A. reduction of competition and the decline in use of technology in business
B. competition, technology and the need for skilled talent
C. decrease in the need for trained employees in modern organisations
D. the abolition of labour laws governing the employment relationship

43. Improper matching of worker with the job is a grievance arising from
A. management policy
B. working conditions
C. government policy
D. personal reasons

44. Which step comes before 'selecting the method of evaluation'?
A. Analysing and preparing job description
B. Classifying jobs
C. Converting points into money
D. Implementing wage agreement

45. Which is an EXTERNAL factor affecting HRP?
A. Organisational structure
B. Labour market conditions
C. Company's strategic plan
D. Employee skills inventory

46. Temporarily putting aside workmen, for a period no longer than the emergency, is
A. gherao
B. retrenchment
C. strike
D. layoff

47. A key difference between HRM and Personnel Management is that HRM
A. is only concerned with payroll
B. treats employees as valuable assets / resources
C. treats employees as a cost to be minimised
D. has no link with strategy

48. HR policies and principles contribute to
A. the increase of paperwork in the personnel department of the firm
B. effectiveness, continuity and stability of the organisation
C. rigidity, delay and confusion in the decisions taken by the managers
D. reduction in the number of employees to be recruited in each year

49. 'Equal pay for equal work' is a principle of
A. advertising
B. inventory control
C. wage policy
D. taxation only

50. In the point method, the most frequent key factors include
A. profit, sales and tax

B. age, religion and caste
C. skill, responsibility and effort
D. colour, size and shape

Answer key - Set 4

1. **C**	11. **A**	21. **B**	31. **B**	41. **A**
2. **C**	12. **B**	22. **A**	32. **A**	42. **B**
3. **B**	13. **B**	23. **C**	33. **B**	43. **B**
4. **D**	14. **D**	24. **A**	34. **B**	44. **A**
5. **B**	15. **B**	25. **B**	35. **D**	45. **B**
6. **B**	16. **D**	26. **B**	36. **C**	46. **D**
7. **D**	17. **B**	27. **B**	37. **A**	47. **B**
8. **C**	18. **D**	28. **D**	38. **C**	48. **B**
9. **A**	19. **B**	29. **D**	39. **B**	49. **C**
10. **A**	20. **D**	30. **B**	40. **B**	50. **C**

Answers with explanations

1. The simplest method of job evaluation is

Answer: C. the ranking method

Why correct: Ranking just orders jobs from highest to lowest, the simplest method.

A is wrong: Factor comparison is complex.

B is wrong: Classification needs predefined grades.

D is wrong: Point method needs scoring.

2. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her

Answer: C. potential for development

Why correct: Beach's definition adds the person's potential for development.

A is wrong: Wages are not part of it.

B is wrong: Family background is irrelevant.

D is wrong: Seniority alone is not appraisal.

3. The minimum wage is the wage that

Answer: B. meets the basic needs of a worker and his family at the lowest acceptable level

Why correct: The minimum wage covers the basic needs of the worker and family at the lowest acceptable level.

A is wrong: The industry average is a fair wage idea.

C is wrong: Each employer fixing it is not a statutory minimum.

D is wrong: A comfortable life is a living wage.

4. The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute

Answer: D. grievances

Why correct: Complaints about pay, overtime, leave, transfer etc. are grievances, said the National Commission on Labour.

A is wrong: Gherao is confinement of management.

B is wrong: Collective bargaining is negotiation.

C is wrong: A strike is a work stoppage.

5. Job analysis is the process of

Answer: B. collecting and analysing information about the tasks and requirements of a job

Why correct: Job analysis collects and studies facts about a job's tasks and requirements.

A is wrong: Estimating headcount is manpower planning.

C is wrong: Appraising performance is performance appraisal.

D is wrong: Fixing wage rates is job evaluation.

6. Evaluating the effectiveness of training is done to

Answer: B. measure whether training achieved its objectives

Why correct: Evaluation checks whether training achieved its objectives.

A is wrong: Wage structure is unrelated.

C is wrong: Recruitment numbers are unrelated.

D is wrong: Trainers' pay is unrelated.

7. Dearness allowance and wage revision are

Answer: D. wage-related issues

Why correct: Dearness allowance and wage revision are about the wage itself - wage-related issues.

A is wrong: Supplementary benefits are pension, gratuity, holidays.

B is wrong: Legal remedies are court actions.

C is wrong: Administrative issues are seniority, grievance, discipline.

8. Career management is the

Answer: C. continuous process of preparing, implementing and monitoring career plans

Why correct: Career management is the ongoing process of preparing, implementing and monitoring career plans.

A is wrong: A one-time test at recruitment is not an ongoing process.

B is wrong: Profit bonus is a reward scheme, not career management.

D is wrong: Downsizing is workforce reduction.

9. After an agreement is signed, the HR manager plays a crucial role in

Answer: A. day-to-day administration and implementation of the agreement

Why correct: After signing, the HR manager must run the agreement day to day.

B is wrong: The annual report is not the HR manager's duty here.

C is wrong: Employees outside the agreement are not covered by it.

D is wrong: A fresh agreement with a rival union is not the task.

10. In the diary method of job analysis, the

Answer: A. job holder records daily activities in a log

Why correct: In the diary method the job holder writes down daily activities in a log.

B is wrong: Auditors check books, not jobs.

C is wrong: Unions negotiate wages, not record job data.

D is wrong: Reading HR policy is not job analysis.

11. Disputes relating to the application or interpretation of an existing agreement are disputes of

Answer: A. right

Why correct: Disputes about applying an existing agreement are disputes of right.

B is wrong: Wages only is too narrow.

C is wrong: Interest disputes are about new demands.

D is wrong: Strikes are an action, not a dispute type.

12. Which of the following is generally the first stage in the selection process?

Answer: B. Application screening

Why correct: Selection starts by screening applications to remove unsuitable ones.

A is wrong: Medical examination comes after tests and interviews.

C is wrong: Final job offer is the last stage.

D is wrong: Induction comes after selection.

13. Training given away from the work floor through discussion of real situations is the

Answer: B. case study method

Why correct: Case study discusses real situations away from work.

A is wrong: Understudy is on the job.

C is wrong: Job rotation is on the job.

D is wrong: Apprenticeship is on the job.

14. A rater who gives higher scores than employees actually deserve shows

Answer: D. leniency bias

Why correct: Leniency bias is rating employees higher than they deserve.

A is wrong: Recency means judging only on recent events.

B is wrong: Horns effect is one weak trait lowering everything.

C is wrong: Strictness bias is rating lower than deserved.

15. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?

Answer: B. Boosts employee morale and motivation

Why correct: Promoting from within motivates staff and boosts morale.

A is wrong: A wider talent pool comes from external recruitment.

C is wrong: Internal recruitment is cheaper, not costlier.

D is wrong: New ideas come from external recruitment.

16. According to the notes, up to what percentage of bargaining outcomes is influenced by the pre-negotiation process?

Answer: D. 83%

Why correct: The notes say about 83% of the outcome is shaped before negotiation, so preparation matters most.

A is wrong: 50% is not the figure given.

B is wrong: 10% understates the importance of preparation.

C is wrong: 25% is not the figure given.

17. Which skill is essential for an HR manager?

Answer: B. Communication and interpersonal skills

Why correct: HR work is dealing with people, so communication and interpersonal skills come first.

A is wrong: Legal drafting alone is too narrow for the HR role.

C is wrong: Accounting is useful but 'only accounting' is too narrow.

D is wrong: Operating machines is a technical skill, not an HR need.

18. Which of the following is a MODERN method of performance appraisal?

Answer: D. 360-degree appraisal

Why correct: 360-degree appraisal is a modern method.

A is wrong: Essay evaluation is traditional.

B is wrong: Paired comparison is traditional.

C is wrong: Confidential reports are traditional.

19. Which of the following is NOT a method of forecasting HR supply?

Answer: B. Delphi technique

Why correct: Delphi forecasts demand; Markov, skill inventory and replacement chart forecast supply.

A is wrong: Markov analysis is a supply method.

C is wrong: Skill inventory is a supply method.

D is wrong: Replacement chart is a supply method.

20. A test that measures a candidate's potential to learn is an

Answer: D. aptitude test

Why correct: Aptitude tests measure the potential to learn.

A is wrong: Situational tests measure judgement.

B is wrong: Personality tests measure traits.

C is wrong: Medical tests measure health.

21. In arbitration, the dispute is referred to

Answer: B. a neutral arbitrator whose award is binding

Why correct: In arbitration a neutral person gives a binding award.

A is wrong: The Board is a party.

C is wrong: The union committee is a party, not neutral.

D is wrong: The Registrar of Unions registers unions.

22. A grievance is

Answer: A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management

Why correct: A grievance is any dissatisfaction or sense of injustice about employment brought to management.

B is wrong: An agreement is a collective agreement.

C is wrong: Sudden work stoppage is a strike.

D is wrong: Punishment is a disciplinary action.

23. Development differs from training in that development is

Answer: C. long-term and career-oriented

Why correct: Development is long-term and career oriented; training is short-term.

A is wrong: It is for all employees, not only new ones.

B is wrong: That describes training.

D is wrong: Development is for managers and workers.

24. In Kirkpatrick's model, trainee satisfaction with the programme is measured at the

Answer: A. reaction level

Why correct: Trainee satisfaction is level 1, reaction.

B is wrong: Learning is knowledge.

C is wrong: Behaviour is on-job use.

D is wrong: Results is impact.

25. A fair wage lies

Answer: B. between the minimum wage and the living wage

Why correct: A fair wage lies between the minimum and living wage.

A is wrong: Above living wage is not required.

C is wrong: Below minimum is illegal.

D is wrong: Profit alone does not set fair wage.

26. Arrange the three wage levels from lowest to highest.

Answer: B. Minimum wage, fair wage, living wage

Why correct: From lowest to highest: minimum, fair, living.

A is wrong: Fair cannot be below minimum.

C is wrong: Living is higher than fair.

D is wrong: That order is reversed.

27. In the paired comparison method, each employee is

Answer: B. compared with every other employee one characteristic at a time

Why correct: Each employee is compared one by one with every other on each trait.

A is wrong: Customers do not rate in this method.

C is wrong: Comparison is with everyone, not only the best.

D is wrong: Chairman ranking is not the method.

28. Recruitment is best defined as

Answer: D. the process of searching for and attracting potential candidates to apply for jobs

Why correct: Recruitment searches for and attracts a pool of potential applicants.

A is wrong: Moving to a higher post is promotion.

B is wrong: Orientation is induction.

C is wrong: Choosing the best from applicants is selection.

29. Pension plans, gratuity and health insurance are

Answer: D. supplementary economic benefits

Why correct: Pension, gratuity and health insurance are benefits beyond wages - supplementary economic benefits.

A is wrong: Wage-related issues are pay and DA.

B is wrong: Administrative issues are seniority and discipline.

C is wrong: These are benefits, not industrial action.

30. Which of the following is included in the scope of HRM?

Answer: B. Recruitment, training, compensation and industrial relations

Why correct: HRM's scope follows the employee life cycle: recruitment, training, compensation and industrial relations.

A is wrong: Purchase and production scheduling are operations.

C is wrong: Product design and advertising are marketing.

D is wrong: Balance sheet, audit and tax are finance and accounts.

31. Basic salary is an example of

Answer: B. guaranteed pay

Why correct: Basic salary is fixed and guaranteed.

A is wrong: Variable pay changes with results.

C is wrong: A bonus is variable.

D is wrong: Equity pay uses shares.

32. Which is a characteristic of collective bargaining?

Answer: A. Flexible, dynamic and continuous process

Why correct: Collective bargaining is flexible, dynamic and continuous - terms keep being renegotiated.

B is wrong: It is not a one-time rigid event.

C is wrong: It is collective, not individual.

D is wrong: It is voluntary; third-party intervention is not compulsory.

33. Which of the following is a method of forecasting HR supply?

Answer: B. Markov analysis

Why correct: Markov analysis shows how employees move between jobs and exit, forecasting internal supply.

A is wrong: Work-study technique estimates workload (demand).

C is wrong: Delphi forecasts demand.

D is wrong: Nominal group technique forecasts demand.

34. In group appraisal, the appraisee is evaluated by

Answer: B. a panel of evaluators

Why correct: Group appraisal uses a panel of evaluators.

A is wrong: An auditor does not appraise.

C is wrong: Family does not appraise.

D is wrong: One peer is not a group.

35. Societal objectives of HRM mean

Answer: D. being ethically and socially responsible to society

Why correct: Societal objectives mean the firm behaves ethically and responsibly towards society.

A is wrong: Cutting wages to raise profit is unethical, the opposite of societal responsibility.

B is wrong: Keeping HR cost lowest is a functional-cost matter, not societal.

C is wrong: Personal ambitions of employees are personal objectives.

36. Which of the following is an aim of a compensation system?

Answer: C. Attract and retain high-quality employees

Why correct: A compensation system should attract and retain good people.

A is wrong: Comparison with other employers is needed.

B is wrong: It should reduce, not increase, disputes.

D is wrong: It should encourage, not discourage, extra effort.

37. Paid time off, medical insurance and company car are examples of

Answer: A. benefits

Why correct: Paid leave, insurance and a car are benefits.

B is wrong: Guaranteed pay is basic salary.

C is wrong: Equity is shares.

D is wrong: Variable pay is performance linked.

38. Which of the following is a technique of forecasting demand for human resources?

Answer: C. Delphi technique

Why correct: Delphi uses expert opinions to forecast future HR demand.

A is wrong: Markov analysis tracks movement of people (supply).

B is wrong: Skill inventory lists existing skills (supply).

D is wrong: Succession chart plans who replaces whom (supply).

39. Which role of the HR manager involves linking management and employees and handling grievances?

Answer: B. Conciliator / mediator

Why correct: A conciliator or mediator links management and employees and settles grievances.

A is wrong: A marketing coordinator handles marketing activities.

C is wrong: A financial controller manages funds and budgets.

D is wrong: A statutory auditor checks accounts, not employee issues.

40. Comparing actual performance with the set standards comes

Answer: B. after measuring actual performance

Why correct: You must measure performance before comparing it with standards.

A is wrong: Standards come first.

C is wrong: Communication is before measuring.

D is wrong: Corrective action is after comparing.

41. Which is a party to industrial relations?

Answer: A. Trade union

Why correct: A trade union represents employees in IR.

B is wrong: Customer is a market party.

C is wrong: Competitor is a market party.

D is wrong: Supplier is a market party.

42. The importance of HRM in the emerging scenario is mainly due to

Answer: B. competition, technology and the need for skilled talent

Why correct: Tough competition, fast technology change and shortage of skilled people make HRM more important.

A is wrong: Competition is increasing, not falling, and technology use is rising.

C is wrong: Modern firms need more, not fewer, trained employees.

D is wrong: Labour laws are not abolished; they still govern employment.

43. Improper matching of worker with the job is a grievance arising from

Answer: B. working conditions

Why correct: Wrong job-worker matching is a working-condition cause.

A is wrong: Management policy covers wages, leave, seniority.

C is wrong: Government policy is not the usual source.

D is wrong: Personal reasons are ambition and self-esteem.

44. Which step comes before 'selecting the method of evaluation'?

Answer: A. Analysing and preparing job description

Why correct: The job description must be prepared before choosing the method.

B is wrong: Classifying jobs comes after the method.

C is wrong: Converting points to money is late.

D is wrong: Implementing the wage agreement is last.

45. Which is an EXTERNAL factor affecting HRP?

Answer: B. Labour market conditions

Why correct: Labour market conditions lie outside the firm, so they are an external factor.

A is wrong: Organisational structure is internal.

C is wrong: Strategic plan is internal.

D is wrong: Skills inventory is internal.

46. Temporarily putting aside workmen, for a period no longer than the emergency, is

Answer: D. layoff

Why correct: Layoff is a temporary pause that ends with the emergency.

A is wrong: Gherao is confinement.

B is wrong: Retrenchment is permanent.

C is wrong: Strike is by workers.

47. A key difference between HRM and Personnel Management is that HRM

Answer: B. treats employees as valuable assets / resources

Why correct: HRM sees people as valuable assets that can be developed; personnel management saw them as a cost.

A is wrong: Payroll-only is the old personnel view.

C is wrong: That is the personnel management view.

D is wrong: HRM is linked to strategy.

48. HR policies and principles contribute to

Answer: B. effectiveness, continuity and stability of the organisation

Why correct: Clear HR policies and principles guide decisions consistently, giving effectiveness, continuity and stability.

A is wrong: Good policies reduce, not increase, paperwork and confusion.

C is wrong: Policies reduce rigidity and confusion, they do not create it.

D is wrong: Policies do not decide how many people to recruit.

49. 'Equal pay for equal work' is a principle of

Answer: C. wage policy

Why correct: Equal pay for equal work is a wage policy principle against discrimination.

A is wrong: Advertising is marketing.

B is wrong: Inventory control is operations.

D is wrong: Taxation is public finance.

50. In the point method, the most frequent key factors include

Answer: C. skill, responsibility and effort

Why correct: Skill, responsibility and effort are the usual key factors.

A is wrong: Profit, sales and tax are company, not job, factors.

B is wrong: Age, religion and caste must not be used.

D is wrong: Colour, size and shape are not job factors.